

Tentative Rulings for September 28, 2026 Department 5

**To request oral argument, you must notify Judicial Secretary
Crystal Marias at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 5 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 782 8254**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVPS2501589	AMIRIANFAR vs BADDOUR, INDIVIDUALLY AND	MOTION FOR SUMMARY ADJUDICATION

Tentative Ruling:

The tentative ruling that was posted for the original hearing date of September 17, 2026 remains the court's tentative ruling.

This matter is already set for oral argument; thus, parties need not request again.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2103653	CHILDERS vs GOLDEN AUTO GROUP, INC.	MOTION TO AMEND JUDGMENT

Tentative Ruling:

The hearing on the motion is continued to October 20, 2026, at 8:30 a.m., to consider the opposition. Moving party may file a reply by no later than 5 court days before the continued hearing. Other than the reply, no further briefing is permitted.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2402526	JUAREZ vs WETTER	MOTION TO COMPEL FURTHER DEPOSITION TESTIMONY OF JAN BISSELL; REQUEST FOR CONTINUED DEPOSITION; AND REQUEST FOR MONETARY SANCTIONS

Tentative Ruling:

Requests 1 and 2 (Document Identification and Employee Identity)

If the answer sought is subject to discovery, the court shall order that the answer be given on the resumption of the deposition. (CCP § 2025.480(i).)

Defendants concede the parties met and conferred and agreed pre-filing to reopen the deposition so Plaintiff may ask both questions as posed, namely (1) which document requests Bissell believed his produced documents satisfied and (2) the identity of the employee involved in the workplace investigation. (Empey Decl. ¶ 25.) Both questions seek non-privileged factual information within the scope of CCP § 2017.010. (*Stewart*,

supra, 87 Cal.App.4th at 1013.) The Court therefore grants as to Requests 1 and 2. Bissell shall answer both questions as originally posed at the resumed deposition.

Requests 3, 4, 5, and 6 (Content of Attorney-Client Communications)

The attorney-client privilege bars discovery of the communication irrespective of whether it includes unprivileged material. (*Costco Wholesale Corp.*, *supra*, 47 Cal.4th at 734.) Instructions not to answer are proper only where the question seeks privileged information. (*Stewart*, *supra*, 87 Cal.App.4th at 1014.)

The four disputed questions each expressly seek the content of what counsel told the deponent or the District to do:

- Q. Okay. So your legal counsel told you that you should not provide that email?
- Q. Okay. Did you not provide witness testimony to support these allegations based on the advice of counsel?
- Q. Did counsel tell you that you did not have to bring any witnesses to support the allegations mounted against Mr. Juarez?
- Q. And they [legal counsel] told you not to make any efforts?

(Pl.'s Separate Statement 4:24, 5:22–23, 6:15–16, 7:10.)

Each question asks Bissell to disclose confidential attorney-client communications rather than his own independent knowledge or acts. That content is squarely privileged. (*Costco Wholesale Corp.*, *supra*, 47 Cal.4th at 734.) Counsel's instructions not to answer were therefore proper. (*Stewart*, *supra*, 87 Cal.App.4th at 1014.) Plaintiff remains free at the resumed deposition to inquire into the underlying historical facts (what Bissell personally did, knew, or decided) so long as the question does not seek the substance of privileged communications. **The Court therefore denies as to Requests 3, 4, 5, and 6.**

At-Issue Waiver

"Merely revealing that one has consulted an attorney is not enough to waive the privilege." (*S. Cal. Gas Co.*, *supra*, 50 Cal.3d at 46.) At-issue waiver requires that the client has put the privileged communication directly in issue and that disclosure is essential for a fair adjudication of the action. (*Id.*) Waiver does not occur where the substance of the protected communication is not itself tendered in issue but instead simply represents one of several forms of indirect evidence. (*Id.* at 41.)

Defendants have expressly disclaimed reliance on advice of counsel as a defense, both in their Answer, which pleads 23 affirmative defenses, none of which invokes advice of counsel or good faith reliance on counsel, and in verified written discovery responses confirming they will not offer evidence or argument at trial that they acted reasonably or in good faith because of advice from an attorney. (Defs.' Answer pp. 3–7; Empey Decl. ¶ 9.) Bissell's isolated deposition references to acting on counsel's advice reveal only

the fact of consultation, not its substance, and Defendants have not tendered the content of any privileged communication as an affirmative defense. Under the authorities cited above, no at-issue waiver has occurred. **The Court therefore denies Plaintiff's request for an at-issue waiver ruling.**

Advice of Counsel Preclusion Order

A party's verified disclaimer of a defense may be enforced by an order precluding later reliance on that defense, consistent with the policy of holding a party to a stipulation that it will not rely on the defense so as to avoid implied waiver of the underlying privileged communications. (*Transamerica Title Ins. v. Sup. Ct.* (1987) 188 Cal.App.3d 1047, 1051–53.) Because Defendants have unequivocally disclaimed reliance on advice of counsel and Plaintiff structured meet and confer, deposition strategy, and this motion around that disclaimer, Defendants shall be held to it going forward.

Defendants may not offer evidence, argument, or testimony at trial, on dispositive motion, or in further discovery invoking advice of counsel as a justification, explanation, or defense for the challenged conduct alleged in the SAC, including the censure proceedings, the investigation underlying the censure, the March 2, 2024 community fair, or any other conduct forming the basis of Plaintiff's claims. **The Court therefore grants Plaintiff's alternative request for a preclusion order as set forth above.**

Request 7 (Follow Up on Employee Identity)

Where a deposition is reopened, permissible follow up examination is limited to matters within the scope of ordinary discovery and does not extend to privileged content. (CCP § 2025.480; *Costco Wholesale Corp.*, *supra*, 47 Cal.4th at 734.)

Because Request 2 (identity of the former District employee who supplied information used in the censure) will be answered, Plaintiff may conduct reasonable factual follow up concerning that employee's non-privileged communications with Bissell. Broader follow up seeking counsel's advice or work product remains protected. **The court grants as limited above.**

Request 8 (Thirteen New Categories of Investigation Questions)

CCP § 2025.480(a) permits a motion to compel an answer only where a deponent fails to answer a question that was in fact asked. (CCP § 2025.480(a).)

Request 8 does not identify specific questions asked and not answered. It "seeks completion of the examination, allegation by allegation, concerning the investigation and factual sources supporting the censure" across thirteen broad categories, several with subcategories. (Pl.'s Separate Statement 12:18–13:24.) Defendants correctly note that section 2025.480(a) does not authorize compulsion of unknown questions that were never asked. Plaintiff's counsel closed the deposition without pursuing these topics. The

statute does not authorize reopening the deposition to ask questions counsel elected not to ask when the witness was available. **The Court denies as to Request 8.**

Deposition Conduct Orders

Objections must be specific and timely stated on the record. (CCP § 2025.460(b).) Unless the deposition is suspended for a protective order, it proceeds subject to the objection. Instructions not to answer are proper only to protect privileged information; counsel may not assume the role of judge and direct the witness not to answer on non-privilege grounds. (*Stewart, supra*, 87 Cal.App.4th at 1011.)

Plaintiff seeks orders regulating instructions not to answer, speaking objections, witness coaching, and “don’t guess” admonishments at the continued deposition. Defendants have already agreed to make no “don’t guess” admonishments going forward. The remaining relief simply restates the governing statutory and case law standards and is appropriate to enter as a prospective order.

At the continued deposition (1) defense counsel shall not instruct the witness not to answer any question except to protect information subject to a legally recognized privilege, (2) objections shall be stated specifically and concisely on the record without argumentative commentary, suggested answers, or coaching, and the witness shall answer subject to any non-privilege objection, and (3) counsel shall not admonish the witness not to guess or speculate while a question is pending. **The court grants.**

Additional Deposition Time and Costs

The Court shall allow additional deposition time beyond the seven-hour limit if needed to fairly examine the deponent or if any circumstance impedes or delays the examination. (CCP § 2025.290(a).)

The rulings above reopen the deposition only as to the two conceded questions (Requests 1 and 2), reasonable factual follow up on the former employee’s non-privileged communications (Request 7), and any reformulated non-privileged fact questions Plaintiff elects to pose. That is a narrow scope. A general reopening tied to Request 8 is not warranted.

Plaintiff should be allotted one additional hour of deposition time beyond the seven-hour limit, to be used exclusively for the reopened topics. **This is granted in part. The court denies Plaintiff’s request that the continued deposition be conducted at Defendants’ expense.** Consistent with the Court’s findings on sanctions below, each side shall bear its own fees and costs associated with the continued deposition.

Sanctions

The Court shall impose a monetary sanction against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel an answer, unless it finds that the

one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (CCP § 2025.480(j).) Plaintiff seeks sanctions against Defendants in the amount of \$5,925.00. Defendants prevailed on Requests 3 through 6 and Request 8, and their pre-filing concessions resolved Requests 1 and 2. Defendants also proposed an Informal Discovery Conference to narrow the dispute, which Plaintiff declined. Defendants' opposition was substantially justified.

Defendants cross-seek sanctions against Plaintiff in the amount of \$2,775.00. Plaintiff prevailed in obtaining the reopening of Requests 1, 2, and 7, deposition conduct orders, additional time, and an advice of counsel preclusion order. The motion was not frivolous, and Plaintiff acted with substantial justification.

Additionally, because the motion was resolved on mixed grounds with pre-filing concessions on multiple issues, other circumstances would make imposition of sanctions on either side unjust. **The court denies both parties' requests for sanctions.**

In sum, the motion is granted in part, denied in part as provided herein. The Plaintiff's request for sanctions is denied, as is Defendants' request for sanctions.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2507434	JOHNSON vs FCA US LLC	MOTION FOR JUDGMENT ON THE PLEADINGS

Tentative Ruling:

A motion for judgment on the pleadings has the same function as a general demurrer but is made after the time to file a demurrer has expired. (CCP § 438(c).) Thus, a motion for judgment on the pleadings attacks only defects disclosed on the face of the pleading or by matters that can be judicially noticed. (*Cloud v. Northrop Gruman Corp.* (1998) 67 Cal.App.4th 995, 999.) A defendant may move for judgment on the pleadings where "[t]he complaint does not state facts sufficient to constitute a cause of action against that defendant." (CCP §438(c)(1)(B)(ii).)

Applicable Statutes of Limitations

FCA argues the 1st, 2nd, 4th, and 6th causes of action are time-barred (see CCP §§ 338, 871.20, 871.21.)

CCP § 871.21

CCP §§ 871.20, *et. seq.* was enacted on 9/29/24 and became effective as of 1/1/25. This chapter provides for pre-suit notice (effective 4/1/25, delayed to 7/1/25 by SB 26), streamlined discovery, mandatory mediation if the manufacturer responds, and strict

deadlines/penalties. FCA asserts that under CCP § 871.21(b), “[a]n action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.” CCP § 871.20 states that “this chapter applies to an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.”

Specifically, under § 871.29(a), a manufacturer *may* elect to be governed by this chapter for all actions described in § 871.20. Section 871.29(b) provides: “Unless a manufacturer has made the election described in subdivision (a) that covers a given year, Sections 871.20 to 871.28, inclusive, shall not apply” This section became effective on 4/2/25 (delayed to 7/1/25 by SB 26), *after* the present action was filed. Nonetheless, FCA opted into the new procedures on 4/25/25.

FCA asserts Plaintiff’s Complaint was filed on 2/11/25, which contains the 1st and 2nd causes of action for violations of CC § 1793.2(b), and (d). (Compl. ¶¶ 7-50.) FCA asserts Plaintiff purchased the vehicle on 4/28/17 with a 3-year basic limited warranty and a 5-year powertrain warranty. (*Id.* ¶¶ 7-8, 40-50.) In the motion, FCA points out the applicable express warranties expired on 4/28/20 and 4/28/22, respectively. (*Id.* ¶ 8.) FCA concludes, citing CCP § 871.21, that the statute of limitations period for the first two causes of action expired one year after the warranties ended (on 4/28/21 and on 4/28/23) but, in no event later than six years after the date of the original delivery date (on or about 4/28/23.)

Plaintiff argues applying CCP § 871.21 in this manner constitutes improper retroactive application of a statute, which violates due process. In general, statutes operate prospectively unless the Legislature has clearly expressed otherwise. (*Evangelatos v. Sup. Ct.* (1988) 44 Cal.3d 1188, 1208.) Plaintiff asserts: “If the statute operates immediately to cut off the existing remedy, or within so short a time as to give the party no reasonable opportunity to exercise his remedy, then the retroactive application of it is unconstitutional as to such party.” (*Rosefield Packing Co. v. Sup. Ct.* (1935) 4 Cal.2d 120, 122-123.)

Here, Plaintiff asserts the statute became effective on 1/1/25. Plaintiff’s Complaint was filed on 2/11/25 prior to the effective date of § 871.21’s opt-in procedure (4/2/25, delayed to 7/1/25 by SB 26). FCA did not opt in to the new procedures until 4/25/25. Plaintiff argues that under *Rosefield*, applying § 871.21 in this manner, before FCA opted in, eliminates Plaintiff’s Song Beverly claims before his awareness of whether the statute applies.

However, this is not a retroactive application. It applies to Plaintiff’s lawsuit because it was filed *after* the statute became effective. Moreover, the opt-in requirement for manufacturers was not in effect when this action was filed on 2/11/25 so, FCA “did not

need to opt-in for section 871.21 to be effective when Plaintiff filed this action.” (see *Khosrowshahi v. Ford Motor Co.* 2025 Cal. Super. LEXIS 62043 *6.) As such, CCP § 871.21’s statute of limitations periods was in effect as of 1/1/25 meaning the six year deadline was in place when Plaintiff’s Complaint was filed on 2/11/25. CCP § 871.30(a) expressly permits a manufacturer to elect to be governed by § 871.21 as to all vehicles sold in 2025 *and in all prior years* by providing written notice to the Arbitration Certification Program within the Department of Consumer Affairs. Thus, once FCA opted-in, Plaintiff’s vehicle was subject to CCP § 871.21 for all purposes. Plaintiff has not demonstrated otherwise.

Plaintiff further argues tolling doctrines apply to CCP § 871.21’s statutes of limitations. This statute contains express tolling provisions: 1) as provided by CC § 1793.22(c); 2) for time the motor vehicle is out of service by reason of repair for nonconformity; and, 3) for the time period after a pre-suit notice is provided to the manufacturer under CCP § 871.24, which shall not exceed 60 days. Plaintiff is not relying on any of these express tolling provisions.

Instead, the Complaint alleges tolling doctrines apply and names them in conclusory fashion (e.g., delayed discovery.) (Compl. ¶ 37.) Plaintiff argues delayed discovery is applicable to a breach of express warranty claim. (*Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 215 [where warranty explicitly extends to future performance of the goods, the breach of warranty occurs only on discovery of the breach.]) Plaintiff asserts his claims did not accrue until he recently discovered FCA’s warranty breaches, which could not have been discovered until after the vehicle’s defects persisted after the expiration of the warranty. (see *Donlen v. Ford Motor Co.* (2013) 217 Cal.App.4th 138, 148-149.) Nonetheless, delayed discovery must be properly alleged in the context of this action. And, Plaintiff must plead around the statute of limitations bar, if possible. The 1st and 2nd causes of action are time-barred, and this motion is granted without leave to amend.

Plaintiff also argues that as to the 4th cause of action for breach of implied warranty, the statute of limitations period accrues when the breach is or should have been discovered. He asserts this may occur when the goods contain a latent defect that is not discoverable at the time of sale. (see *Mexia v. Riker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1304.) Generally, the delayed discovery rule applies to implied warranty claims. (*Id.* at 1309.) However, as currently alleged, the Complaint does not adequately allege delayed discovery as to the 4th cause of action. The motion is granted with ten (10) days leave to amend.

CCP § 338

As to the 6th cause of action for fraud, FCA argues it is subject to the three-year statute of limitations period in CCP § 338(d). Plaintiff asserts the fraud claim is time-barred as of 4/28/20 based on the purchase date of 4/28/17. (CCP § 338(d).) However, as with the 4th cause of action, delayed discovery may save the claim if it is properly alleged. Currently, it is not. Thus, the motion is granted with ten (10) days leave to amend.

3rd Cause of Action for Violation of Civil Code § 1793.2(a)(3)

FCA argues this statute requires every manufacturer of goods sold in California that is accompanied by an express warranty to “[m]ake available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period.” (CC § 1793.2(a)(3).) FCA correctly asserts the Complaint contains no such factual allegations. The Complaint alleges this cause of action in conclusory fashion. It does not allege *facts* regarding the subject vehicle’s service and repair history including whether/when it was presented to an authorized service/repair facility and that the dealership was unable to conform the vehicle because FCA failed to provide adequate literature or parts. As a result, the motion is granted, with ten (10) days leave to amend.

5th Cause of Action for Negligent Repair

The elements of negligence cause of action are: (1) a legal duty to use due care; (2) breach of such duty; (3) the breach was the proximate or legal cause of resulting injuries. (*Ladd v. County of San Mateo* (1996) 12 Cal. 4th 913, 917.)

This cause of action is alleged only against Aaron CJDR, which argues that there are no facts showing its actual negligence. (see Compl. ¶¶ 59-63.) To the contrary, Plaintiff argues negligence can be alleged the way it is, which puts Aaron CJDR on notice. Aaron CJDR is correct that the allegations in this cause of action are entirely conclusory and contain no facts attributing any wrongful conduct to Aaron CJDR. Plaintiff does not point to any prior factual allegations incorporated into this cause of action. As a result, the motion is granted with ten (10) days leave to amend.

Punitive Damages

FCA correctly argues that since the fraud cause of action fails, so does Plaintiff’s claim for punitive damages. The fraud cause of action is time-barred. As discussed above, Plaintiff may be able to plead around the time bar by properly alleging delayed discovery. The fraud claim is the only claim that can support punitive damages in this action. Thus, the motion is granted as to punitive damages because the 6th cause of action for fraud is time-barred. The punitive damages claim is thus contingent on whether the 6th cause of action can be properly amended; accordingly, the court grants the motion as to punitive damages with ten (10) days leave to amend.

The motion is granted in part, denied in part.

It is granted as to the 1st and 2nd causes of action without leave to amend for being time-barred by CCP § 871.21.

It is granted as to the 4th and 6th causes of action with ten (10) days leave to amend to add tolling doctrines (e.g. delayed discovery) and as to the 3rd, 4th, and

5th causes of action with ten (10) days leave to amend. As to the punitive damages claim, the motion is granted with ten (10) days leave to amend, contingent upon the amendment of the 6th cause of action.

The ten (10) days leave to amend is from the date of service of the notice of ruling or service of the signed order, whichever is first.

Moving party is ordered to give notice.

5.

CASE #	CASE NAME	HEARING NAME
CVRI2604148	FERRARI FINANCIAL SERVICES, INC. vs LEE	APPLICATION FOR WRIT OF POSSESSION

Tentative Ruling:

The application for a temporary restraining order (and writ of possession after hearing) is denied. Although a Notice of Application for Writ of Possession and Hearing was filed on September 3, 2026, there is no proof of service filed and there is nothing to show that defendants were given any notice.

6.

CASE #	CASE NAME	HEARING NAME
RIC2000374	THE CITY OF JURUPA VALLEY vs BRACKINS	MOTION FOR ORDER APPROVING RECEIVER'S FINAL REPORT AND FINAL ACCOUNTING, RECEIVER'S FEES AND COSTS AND DISCHARGING RECEIVER

Tentative Ruling:

A receiver is an agent and officer of the court, and “is obligated to preserve and manage the property during the course of the receivership.” (*Southern California Sunbelt Developers, Inc. v. Banyan Limited Part.* (2017) 8 Cal.App.5th 910, 922.) They “are entitled to compensation for their own services and the services performed by their attorneys. ... Generally, the costs of a receivership are paid from the property in the receivership estate. ... However, courts may also impose the receiver costs on a party who sought the appointment of the receiver or apportion them among the parties, depending upon circumstances.” (*Ibid.* [internal quotations and citations omitted].) “A receivership terminates upon completion of the duties for which the receiver was appointed; or at any other time upon court order.” (Ahart, *California Practice Guide: Enforcing Judgments & Debts* §4:940 (Rutter Group 2023.) A receiver must present by noticed motion or stipulation of all parties: (1) a final account and report; (2) a request for the discharge; and (3) a request for exoneration of the receiver’s surety. (Cal. R. Ct. 3.1184(a)(1)-(3).) If any allowance of compensation for the receiver is claimed in an

account, it must state in detail what services were performed, and whether previous allowances have been made to the receiver, and the amounts. (CRC, Rule 3.1184(d).) Any party may file objections to the account or claims against the receivership estate. (See, *Aviation Brake Systems, Ltd. V. Voorhis* (1982) 133 Cal.App.3d 230, 232.) “Before the court rules on the final accounting, the parties may question, and the court must consider, issues such as whether the receiver exceeded his or her authority, caused injury to others, or acted negligently in operating the receivership estate.” (*Southern California Sunbelt Developers, Inc. v. Banyan Limited Part.* (2017) 8 Cal.App.5th 910, 926.) The amount of the receiver’s fee or compensation and expenses and attorneys’ fees properly chargeable against the receivership property is within the sound discretion of the trial court. (See *City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 686; *Melikian v. Aquila, Ltd.* (1998) 63 Cal.App.4th 1364, 1368.) In the present case, the Receiver was appointed in October 2021, on a motion brought by City, to enforce the preliminary injunction, preserve the Property, and protect City’s rights. (Decl. of Eric. P. Beatty [“Beatty Decl.”] at ¶ 3, Ex. B.) On July 14, 2026, he filed a Final Report and Final Accounting (the “Final Report”) and now seeks court approval and recovery of fees and costs totaling \$81,097.23 (\$27,000 of which has been paid + \$53,614.71 additional sought by this motion). The Receiver presents evidence that he secured the Property and completed removal of the inoperable vehicles, trash, and unpermitted/abandoned property thereon in December 2021. (Beatty Decl. at ¶ 10.) At this time, the only remaining item on the Property was a dilapidated fifth wheel trailer that the City had removed in approximately August 2024. (*Id.* at ¶¶ 10-11; Decl. of Valerie D. Escalante Troesh [“Troesh Decl.”] at ¶ 5.) Receiver states that the bulk of the compliance work was completed in December 2021, and after that time, he performed two inspections of the Property, his staff performed four inspections, and he arranged for a maintenance vendor to perform twice monthly inspections at an average cost of \$260 per month. (Beatty Decl. at ¶ 25.E.i.) The total fees incurred by the Receiver through December 2021 were \$10,745.51. (Beatty Decl., Ex. G, December 2021 Interim Report.)

The bulk of the compliance work was completed by December 2021, but an additional more than \$70,000 is being sought as incurred after that time.

Although there appears to be consensus that many of the fees were incurred due to the delay in the sale of the Property, there is disagreement as to the reason for the delay. The Receiver contends the delay was the result of the City’s refusal to reduce its cost recovery; its unrealistic assessment of the Property’s value, insisting it should sell for at least \$100,000 despite being virtually inaccessible due to zoning; and its general lack of responsiveness and direction to the Receiver. (Beatty Decl. at ¶ 25.C., Exs. H-O.) The City, on the other hand, argues that as soon as the Receiver advised it and the Court in September 2023 of its efforts to sell the Property, the City assisted the Receiver by obtaining information and vetting the options for the Property, asking for information about a sale price and potential proceeds from the sale, and considering the viability of a variance to sell the Property for a higher value. (Troesh Decl. at ¶ 6, Ex. B.) It also argues that the sale was delayed because the Receiver refused to list the Property on the open market, and the Receiver requested continuances from the Court for over a

year to solicit purchase offers and/or continue discussions with potential buyers. (Troesh Decl. at ¶ 7-8.) It appears from the evidence presented that both the City and the Receiver contributed to the delay in the sale of the Property. However, the Receiver controlled how the Property would be sold, including opting not to put it on the open market. If he believed the City was unreasonably delaying the sale of the Property, he could have petitioned the Court for approval of a sale well before January 2026, but he did not.

As the Receiver appears to have contributed to the delay more so than the City without sufficient reason or explanation how it was reasonable to incur over \$70,000 in fees and costs after completing the bulk of the duties of the appointment [Beatty Decl. at ¶¶ 10, 25.E.i.], the amount billed after December 2021 is reduced by **\$17,587.93**.

In addition, City correctly points out that Receiver charges a “surcharge” of 15% on monies he advanced, despite never obtaining approval from the Court for such surcharges. These surcharges total **\$3,396.95** over the time period from February 2022 to June 2026. (See, Beatty Decl., Ex. G.) The fees and costs requested are reduced by this amount as well.

The motion is granted in part, denied in part. The denial is only as to the amount of Receiver fees and costs, which is awarded in a reduced amount.

The Final Report is approved. The Final Accounting is approved in part, subject to the reduction in fees and costs.

Receiver fees and costs are approved in the reduced but reasonable amount of \$60,112.35 (\$81,097.23 – [\$17,587.93+\$3,396.95]). Of this amount of \$60,112.35, Receiver has already received an interim payment of \$27,000. Thus, of the remaining amount due to Receiver in the amount of \$33,112.35, it shall be paid to Receiver as follows:

- 1. \$482.52 from the cash on hand in the Receivership Estate**
- 2. \$32,629.83 from the City**

City is ordered to pay the amount of \$32,629.83 within thirty (30) days of entry of this order.

Receiver’s undertaking is exonerated, and Receiver is discharged.

The court further sets an Order to Show Cause on all parties Re: Dismissal For Nothing Further to Litigate Upon Discharge of Receiver on November 19, 2026, at 8:30 a.m.